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Introduction to Business Frameworks
Session - 8

10th October, 2026

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Agenda

1 UC - It takes two to tango

2 UC - Disintermediation

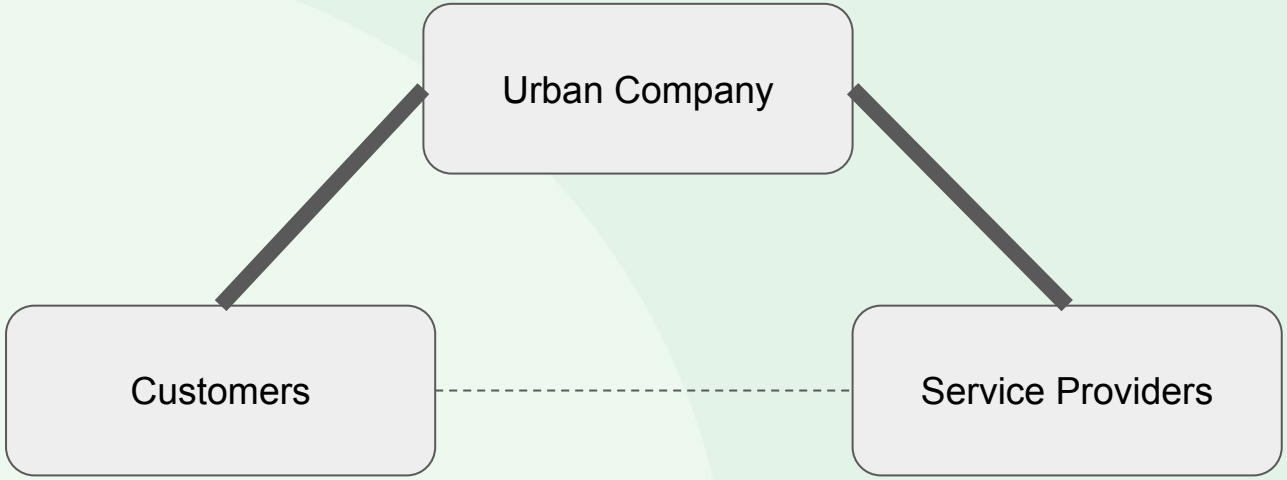


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Urban Company

What is its business model? How is it different from other commission-based startups?

Urban company thrives when there is great loyalty between the platform & its customers as well as service providers



Basis the above understanding, can you list what is the ideal behaviour that you want to drive in your Customers and Service Providers as UC?

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1 Customers

- **Loyalty** - Book services directly and repeatedly
- Trust UC for quality, reliability & fair pricing **across categories**
- **Feedback** - Provide constructive ratings & reviews after services
- **Stickiness** - Prefer UC over informal alternatives
- **Memberships/subscriptions** for higher engagement.

2 Service Providers

- **Accept jobs** consistently
- Deliver **standardized, high-quality** service
- Maintain **professionalism** (punctuality, behavior).
- Stay **active & exclusive** to UC
- Upsell add-ons/VAS through UC system (not offline).
- Encourage customers to rebook via UC

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Crux of the case

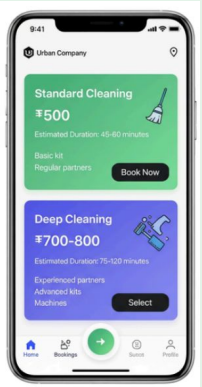
Bracing for Diwali’s order spike - how can we do that while retaining our NPS?

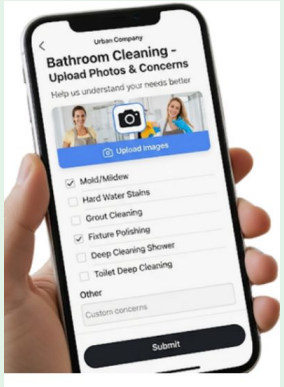
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Customer expectation mismatch correction & Ops excellence can drive NPS to 50%+ even at scale, forming a high repeat rate flywheel

Customer expectation mismatch correction | Tiering of services required to understand customer expectations

- Understanding Customer expectations better by **moving away from current One-Size-Fits-All model** to one with
  - Choice & **Clarity of services required**
  - **Transparent pricing**, with clear demarcation of **Doorbusters and Upsell VAS**
  - Potential for **customization**
- Potential to **assign premium services to higher-rated** & more experienced Partners
- **Before vs After comparison** to help customers see the value-add





Correcting this mismatch will lead to both, happier customers & partners!

Operational Excellence | 3 key areas plague Urban Company ops, to be solved via supply of more & better-trained Partners

What are the operational issues?

- **Partners are stretched** during Diwali
- **Low Partner quality** due to higher proportion of new hires
- **Training of new hires** is not upto the mark

Constraints that we have to live with

- Order flow will be high during Diwali → we **need new hires** to cater to this increased demand, drive down utilization
- We **need high NPS** despite these operational constraints to drive repeat orders

Structural solves needed

1. **Active Partner count**: New hires need to be ramped up gradually, not in a spiky manner
2. **Jobs per Partner**: All Partners need to complete more jobs per day or week
3. **Better training of new hires** for better NPS
4. **Demand throttling** in case of extreme stress

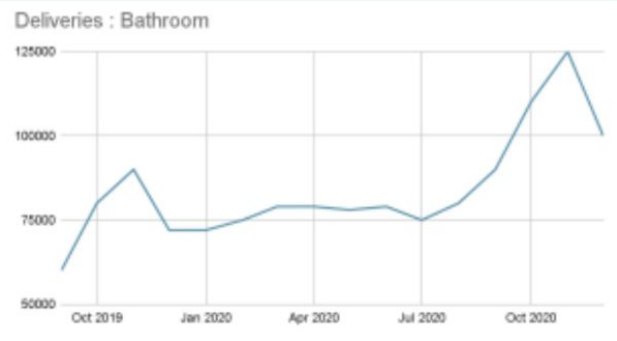
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Operational Excellence | Solving for NPS will require higher Partner supply combined with...

1

Active Partner Count ramp-up

- **Ramping up of Partner count well before Diwali** via new hires & rejoiners so that that stabilize/re-stabilize in the system (say, > 50 jobs) before Diwali
- **Driving up demand before Diwali** & prioritizing new hires/rejoiners for these jobs via campaigns (pricing, promotions)



2

Jobs per professional

- We need Partners to do more jobs during this time of stress. The best way to do this is via **Incentives** based on:
  - Number of jobs completed
  - No. of active days on weekends
  - Ratings for these jobs
  - Acceptance rate, etc.
- This can double up as a **Diwali bonus**, which can help **reduce attrition**.

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Operational Excellence | ... revamp of new hire training program, especially at scale to ensure customer expectations are met

3

Training new hires better, for better NPS from this cohort

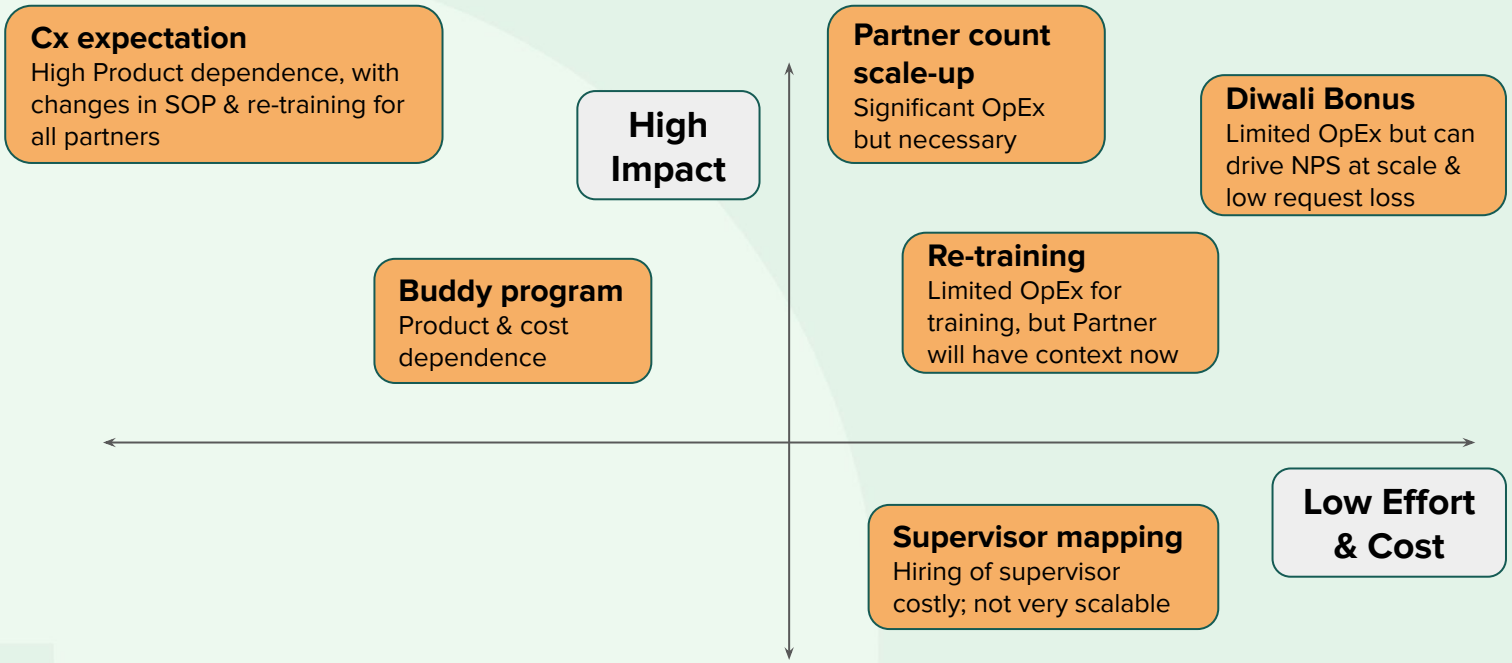
- **Buddy program** - new hires mandatorily accompany experienced high-rated Partners on visits. Partners get support + some added benefits, while new hires learn best practices of end-to-end cleaning, professionalism, etc. while getting nominal daily payment
- **Retraining** basis trending performance & feedback
    - **Customer sign-off required for service completion from new hires** can drive pointed feedback within the system
- **Supervisor / POC mapping for feedback and performance correction** basis trending ratings (say, last 10 jobs)

4

These initiatives to drive supply, combined with **Demand Throttling** mechanisms (surge pricing, request losses thresholds, etc.) can help drive NPS for requests that we do take

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Partner count scale-up & Diwali Bonus immediate levers for Diwali ‘25; Cx expectation alignment to be prioritized as long-term structural solve



Solving for these revenue leakages a significant opportunity to regain revenue, while building further trust in the system

Salon Biz revenue leakage estimated to be ~10 Cr annually, due to Disintermediation

- Revenue leakages estimated via 2 major leakage sources:
    - **Cancelled but fulfilled - ~Rs. 5 cr every month**
        - Avg commission per job = Rs. 240
        - Jobs fulfilled per month = ~6L
        - Cancellation post booking % = 14%
            - Of which, estimated to have partner showup & fulfilment offline = 20%
    - **Direct calls to Partner by Customer - ~Rs. 5 Cr every month**
        - Monthly customers = ~4L
        - Typical repeat rate with UC = 60%
            - Of which typical repeat rate with same partner = 70%
        - % of these requests handled end-to-end offline = 10%

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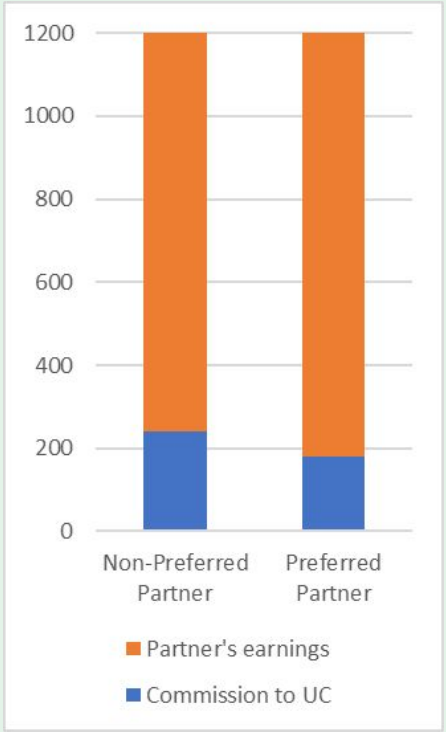
Silver Bullet | Setup & scale a Preferred Partners pool that works on lower commission and drives loyalty to UC, not just the Partners

Preferred Partner Pool

- Pool of **Experienced, high-rated and complying partners**
- Partners who meet certain **performance & tenure thresholds** added to this program
- These partners are given the benefit of **lower commission** vs non-Preferred Partners

Why create this pool?

- **Lower incentive for Partner to pitch** offline job to Customer
- Customer now sees **more Partner options to service job better** at their required slots
- **Higher NPS** from this pool combined with **more options (all reliable) will drive loyalty towards UC**



Our bet
Customer willing to pay 5-10% extra for UC trust & security

Assumption
15% Commission from PP vs 20% on avg.

Funding this
Via revenue leakage, incremental volume & lower Partner attrition

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Incentives, communications and policing to land the Preferred Partner construct with Customers & Partners

Cohorts	Products	Incentives	Communications	Policing
Customers	**Memberships for higher engagement** & hence loyalty, complete with features such as service guarantee, free upgrades, occasional discounts, etc. **Better/priority assignment of Partners**, who can provide more variety in services provided too	Guarantee that **UC-specified materials** will be used for providing services	Landing the **benefits of employing Preferred Partners** via buffer screens, push notifications, marketing, etc. Communicating the **benefits of booking via the UC app** - trust (in case things go south), standardized packages with time norms, best-in-class materials and service providers, etc.	**Flagging customers & partners** who are more likely to take service offline - monitor their behaviour to govern with warnings/penalties to partners who are flagged by customers **Monitoring the amount** of RM consumed by partners
Partners	Chance to work with **frequent customers** who have **higher AOV** and **give better ratings**, setting into motion a **very strong flywheel**	**Lower commission structure** post certain thresholds of number of bookings, with check metrics such as ratings, acceptance rate, etc. Weekly incentives to push higher availability especially on weekends	Sharing the **benefits of becoming a Preferred Partner** such as higher earnings, more jobs, more repeat clients, etc. Sharing the **criteria for Preferred Platform** - keeping it aspirational while encouraging Partners to achieve it and then maintain it	


Q&A